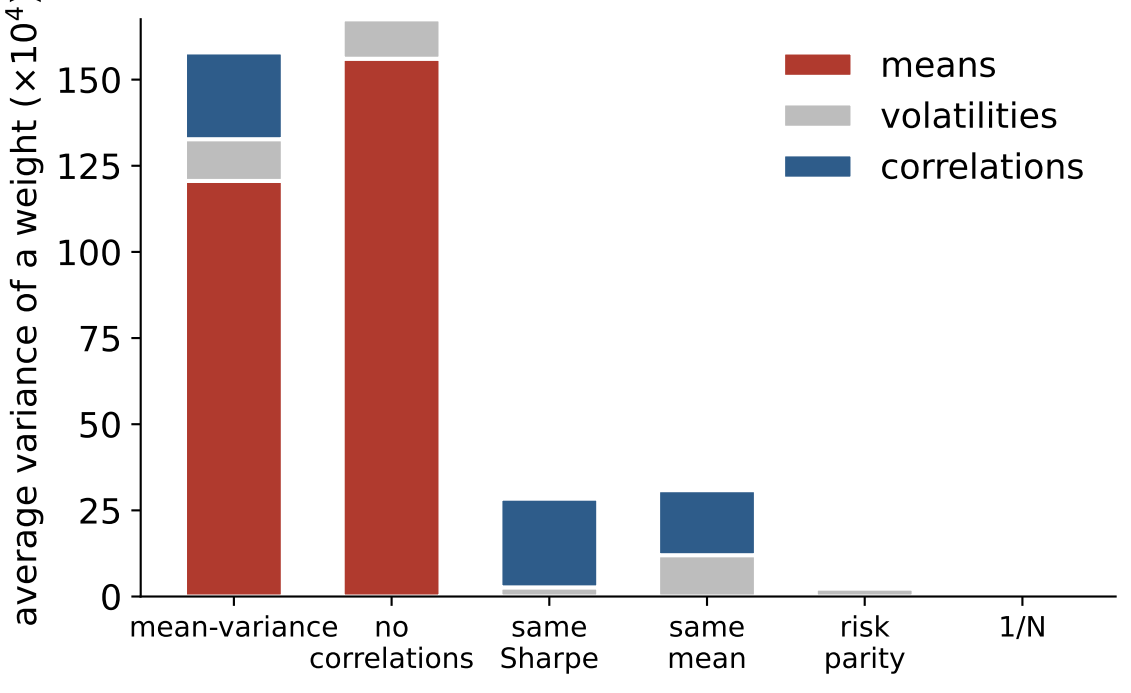
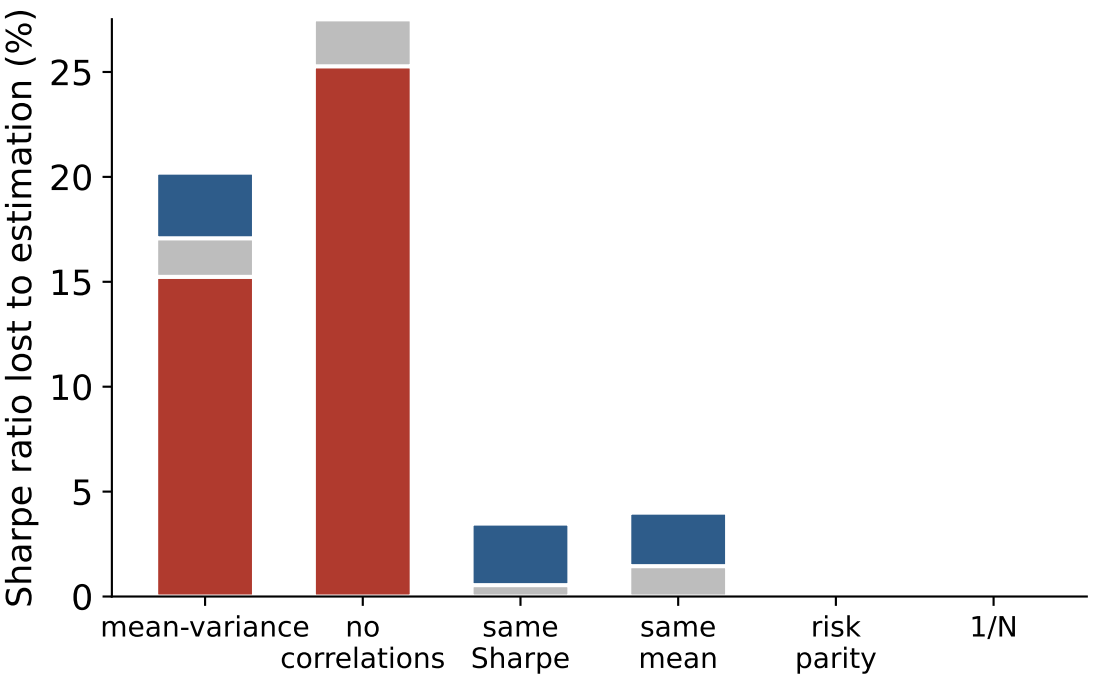

average variance of a weight (×10^4)
0
25
50
75
100
125
150
means
volatilities
correlations
mean-variance
no correlations
same Sharpe
same mean
risk parity
1/N


Sharpe ratio lost to estimation (%)
0
5
10
15
20
25
mean-variance
no correlations
same Sharpe
same mean
risk parity
1/N